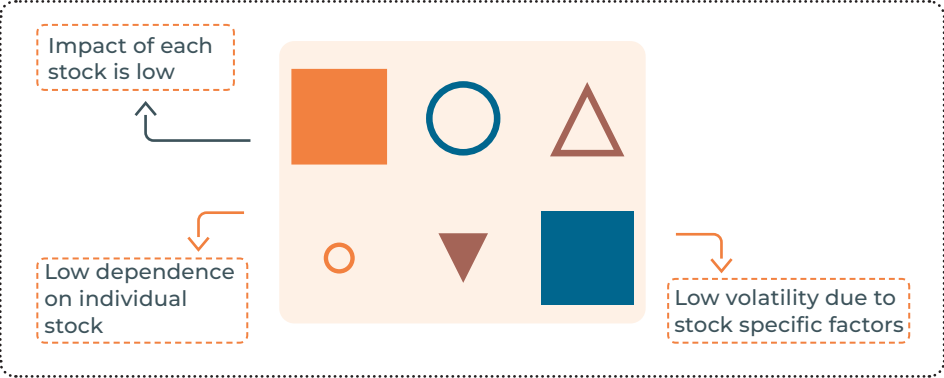
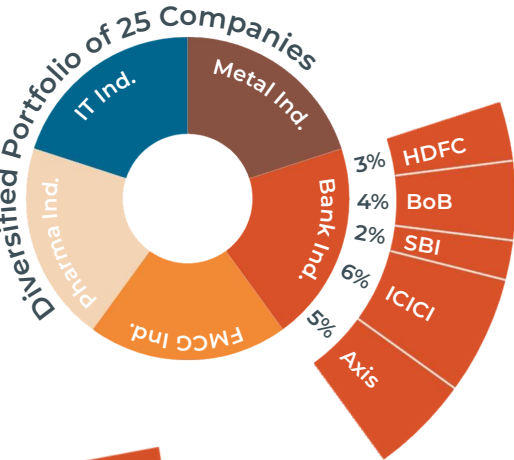


Features of Diversification



Impact of each stock is low

Let us assume our total portfolio size is Rs100 which is invested in 25 different stocks. Since we did not spend enough time researching the companies, there is a high possibility that we overlooked the risks involved in many companies.



With time, company A suffers a huge setback which leads to a drop in its stock prices by 60%!

3% of our total investments were in the company. Now, our portfolio will lose 1.8% of its value due to a 60% decrease in the stock price. As a result, we minimized our risk of losing a lot of value on our portfolio.

However, along with reducing risk, this also reduces reward potential. The portfolio will also increase by a lower amount. However, this will help us avoid any portfolio survival risk.



Value of our portfolio falls by 1.8% (60% of 3%)

Hence, each stock and its movement has a relatively lower impact on the overall portfolio.